diversification. Diversifying away from the U.S. dollar with your equity allocation is an inexpensive way to gain currency exposure. The benefit of currency diversification is maximized by your taking positions in different global regions that have different currencies, and rebalancing your portfolio annually to reestablish your target positions.

TABLE 7-3
Slicing the EAFE into Regions, 1970–2009

	EAFE Index, Net of Dividends in U.S. $	50% MSCI Europe, 50% MSCI Pacific
Annualized return	9.5%	10.1%
Standard deviation	17.1%	17.7%
40–year high	69.4%	68.6%
40–year low	−43.4%	−44.9%

Source: Morgan Stanley

Figure 7-5 clearly illustrates the flip-flop in value between the Pacific Rim and European indexes over the last 40 years. Table 7-3 shows that over the last 40 years, the EAFE Index has returned about 9.5 percent net of dividends and 10.2 percent before the foreign withholding tax (the S&P 500 returned 9.9 percent). During the same period, a portfolio with 50 percent in the MSCI Europe Index and 50 percent in the MSCI Pacific Rim Index rebalanced annually resulted in a compounded return of 10.1 percent net of foreign withholding taxes. That was 0.6 percent higher annually than the EAFE Index without a meaningful increase in volatility.

Until recently, it was not possible to invest directly in the EAFE Index or regions of the EAFE independently. Thanks to the rapid growth of index mutual funds, it is now possible to put your money in a combination of investments that follow most of the indexes previously mentioned. See the list of low-cost developed-market index funds at the end of this chapter.

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